

FINANCIAL SERVICES BOARD

DIRECTIVE 135 A

(To all long-term insurers)

LONG-TERM INSURANCE ACT, 1998: SECTION 37(2)

TRANSFERIBILITY OF COMPULSORY LINKED ANNUITY POLICIES

1 Introduction

This Directive does not replace Directive 135 of 10 January 2001 – Amendment 1/2001 but should be read with the aforementioned directive. The aim of this Directive is to inform long-term insurers (insurers) that this office considers it undesirable for an insurer to refuse the request of a compulsory linked annuity policyholder to transfer the policy to another insurer of his/her choice.

This Directive is the result of –

- a) an investigation among insurers to establish what the general policy of insurers is with regard to requests received from compulsory linked annuity policyholders to transfer their policies to another insurer; and
- b) complaints that are continuously received from compulsory linked annuity policyholders regarding the refusal by some insurers to allow policyholders their requests to transfer their policies to other insurers.

This office now requires insurers to ensure that the enabling provisions of Directive 135 be put to practice. This will ensure that all requests of compulsory linked annuity policyholders to transfer their policies to another insurer are treated fairly.

2 Background

After Directive 135 was issued, it has come to the attention of this office that some insurers have taken advantage of the statement made in paragraph 4 of Directive 135 which reads as follows: " ... *It should be made clear however that the Act does not compel an insurer to agree to such transfers of business should an insurer not wish to do so. It will remain the prerogative of an insurer to decide whether it wants to allow such replacements.* ..." The said paragraph endeavored to give a strict legal interpretation to the situation with regard to specific requests to transfer policies between insurers. However it has been found that insurers have not taken due cognizance of the need to transfer such policies in the market nor the reasons why policyholders want to effect transfers, to such an extent that the supervisor has no alternative but to intervene.

The results of the small-scale investigation into the transferability of compulsory linked annuity policies under insurers, confirmed this office's concerns that too many insurers will not allow for the transfer of compulsory linked annuity policies to take

place. In this offices' opinion the reasons provided by these insurers for refusing these requests were in most cases insufficient grounds for the refusal.

This office feels strongly that insurers should respect the informed decision of a policyholder in this instance. Furthermore this office is of the opinion that more protection ought to be given more protection to these compulsory linked annuity policyholders because of the restrictive legislation applying to these policies, e.g. they cannot be surrendered and policyholders are therefore locked-in-for-life in these policies. Although conventional life annuities are similarly for life, the benefits are predetermined and fixed and there is little to choose between various life offices. Linked annuities, in contrast, have many dimensions where service levels, investment performance and other considerations may differ materially between long-term insurers. The only way, in which policyholders will be empowered to select on these important dimensions, would be to transfer their policies to another insurer if for whatever reason they are not satisfied with a specific insurer. Certain insurers seem to be abusing their rights when they refuse the requests of compulsory linked annuity policyholders to transfer their compulsory linked annuity policies to other insurers of their choice.

Policyholders through the national press and this office raised their concerns in this regard. It was hoped that ultimately these concerns would have been addressed through self-regulation of the industry rather than by means of legislation. The industry failed to address this matter appropriately, which leaves this office no other option than to introduce measures that will ensure that fairness between insurers and policyholders remain paramount.

3 Recommendation of Advisory Committee

The Advisory Committee on Long-term Insurance also considered the matter and the Committee recommended that this office should issue a directive compelling insurers to accede to the requests of policyholders to transfer these policies. The office decided to heed the advice of the Committee.

4 Decision

From a consumer protection point of view, this office now directs insurers to allow policyholders their freedom of choice of an insurer, to whom they can request that their policies can and should be transferred, subject thereto that it will take place in accordance with the requirements set out in Directive 135 of 10 January 2001.

Insurers and independent intermediaries are still required to provide appropriate advice, as the case may be, to policyholders when requests for the transfer of their compulsory linked annuity policies are received. However in the event of a policyholder not wanting to accept the insurer's or such intermediary's appropriate advice, this office is of the opinion that policyholders must be allowed their freedom of choice.

If insurers fail to comply with this directive this office will, with the consent of the Minister, institute action in terms of section 50 of the Act to declare the refusal of a

request for the transfer of a compulsory linked annuity policy at the request of the policyholder as an undesirable business practice.

This office will in due course request Parliament also to consider amending the Act appropriately to address this office's concerns with regard to the transferability of compulsory linked annuity policies.

5 Applicability and Operative date

The directive is applicable to existing and new policies and binds all insurers that underwrite compulsory linked annuity policies. All parties concerned must amicably solve any contractual rights that might be a hindrance. The directive applies from **1 January 2003**.

The industry's cooperation in this regard is requested.

6 General & Conclusion

Two additional copies of the Directive are enclosed for your auditors and statutory actuary. The attached acknowledgement of receipt, duly completed and signed by your public officer, must be returned to this office as soon as possible.

REGISTRAR OF LONG-TERM INSURANCE